

Italy Bank | 2025

Executive Overview

Month

Quarter

Scenario

All

All

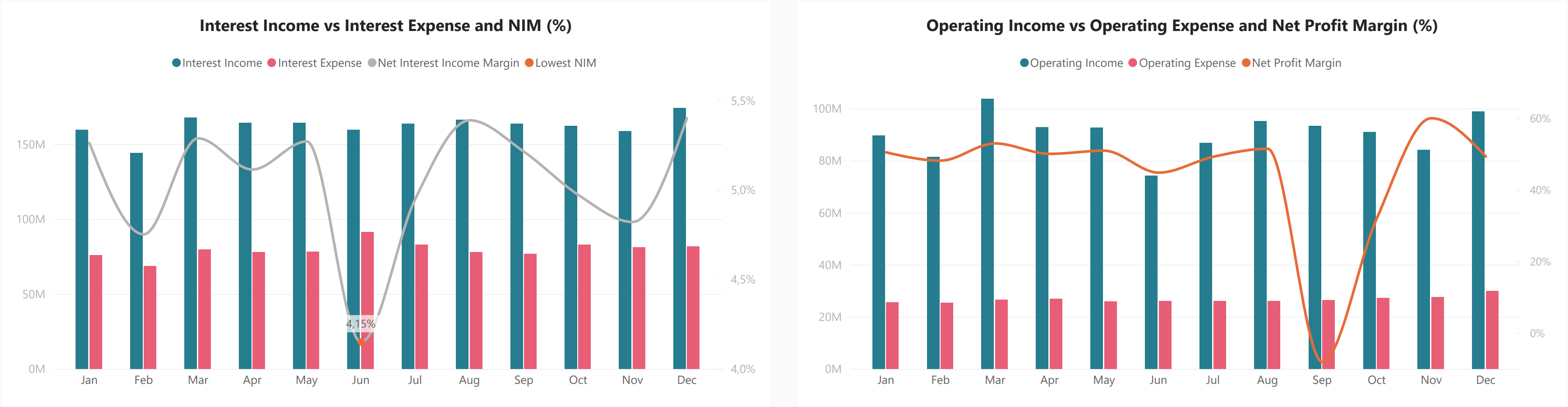
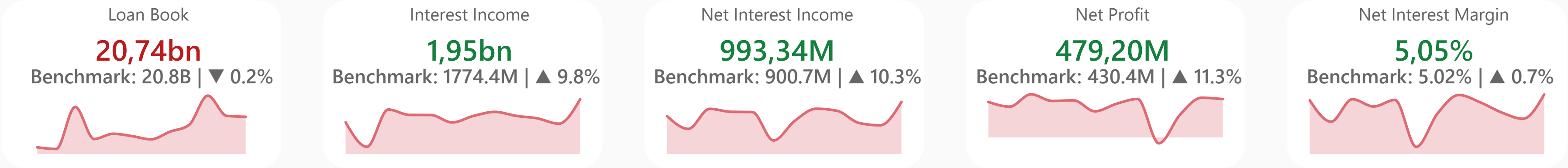
MTD

Normal

QTD

R3M

- Executive Overview
- Margin Pressure
- Profitability
- Credit Risk & Exposure
- Client Matrix



JUN | FUNDING SHOCK

Cost of funds jumped to 6.01% (+0.86 pts) and NIM fell to 4.15%

SEP | PROVISION HIT

Provision of 76M pushed Net Profit to -7.6M (-8.00%)

OCT | CREDIT STRESS ISPEAK IN OCT AND GRADUALLY EASING

Loan book peaked in October (21.7bn) and have gradually declined over the past two months.

Margin Pressure

Month

Quarter

Scenario

All

All

MTD

Normal

QTD

R3M

Executive Overview

Margin Pressure

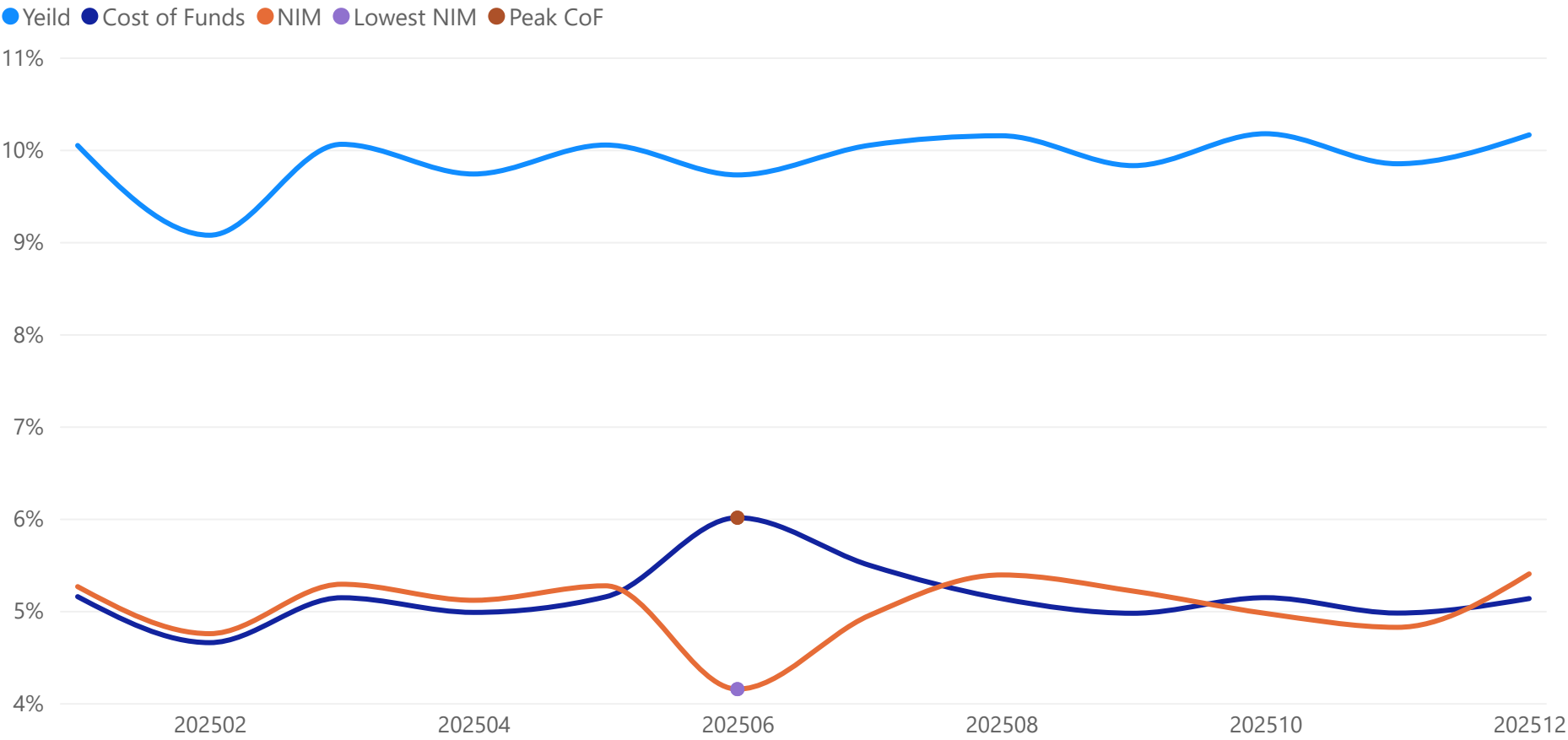
Profitability

Credit Risk & Exposure

Client Matrix

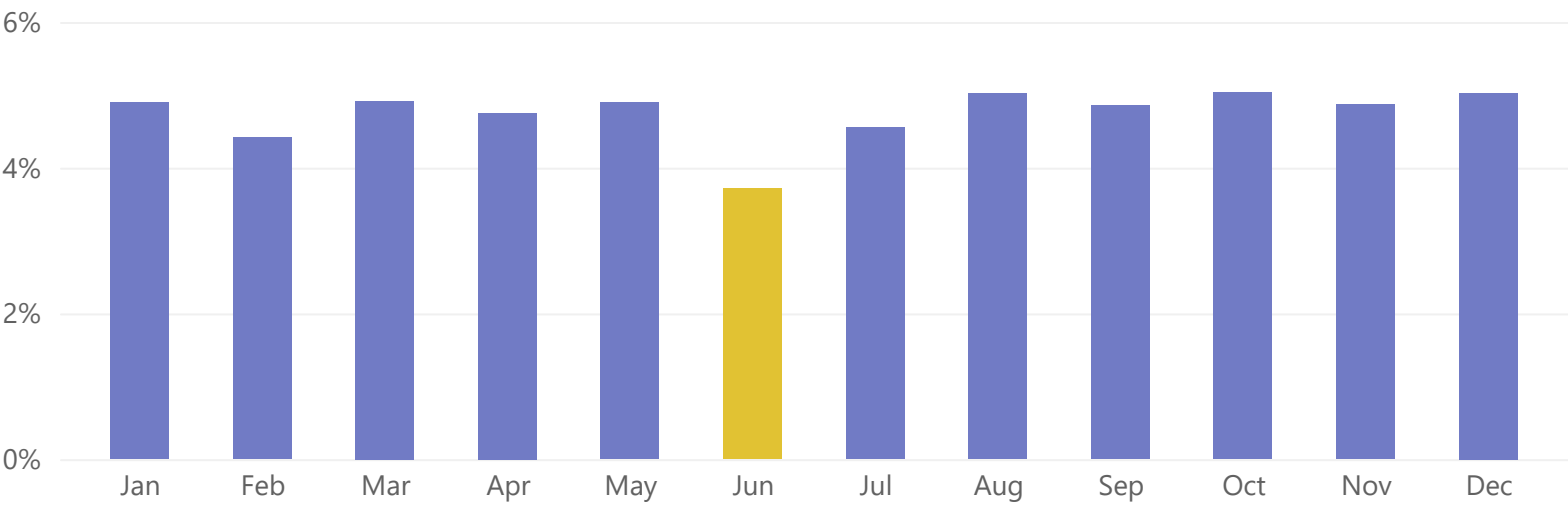
Yeild on Advances vs Cost of Funds vs NIM (%)

Annualised, monthly



Spread = Yeild - Cost of Funds (pts)

Lower = margin pressure



JUNE MARGIN COMPRESSION

Cost of Funds surged to 6.01%, pushing Spread down to 3.72%% and NIM to 4.15%.

Action: Optimize funding mix and repricing to lower Cost of Funds

TRADE FINANCE LEADS MARGIN

Trade Finance achieves the highest NIM at 5.61%, despite Working Capital Revolver having the largest Loan Book.

Action: Scale Trade Finance selectively to improve portfolio profitability.

MARGIN RECOVERY

Spread normalized after June, supporting NIM recovery to approximately 5.4% by December.

Action: Maintain pricing discipline and monitor Spread to sustain NIM.

ProductName	Loan Book	Yeild on Advances	Cost of Funds	Net Interest Income Margin
Trade Finance Loan	5,18bn	10,49%	5,16%	5,61%
Working Capital Revolver	5,57bn	9,91%	5,16%	5,10%
Corporate Term Loan	4,85bn	9,67%	5,16%	4,76%
Equipment Finance Loan	5,14bn	9,56%	5,17%	4,73%

Profitability Bridge

Month

Quarter

Scenario

All

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All

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MTD

Normal

QTD

R3M

Executive Overview

Margin Pressure

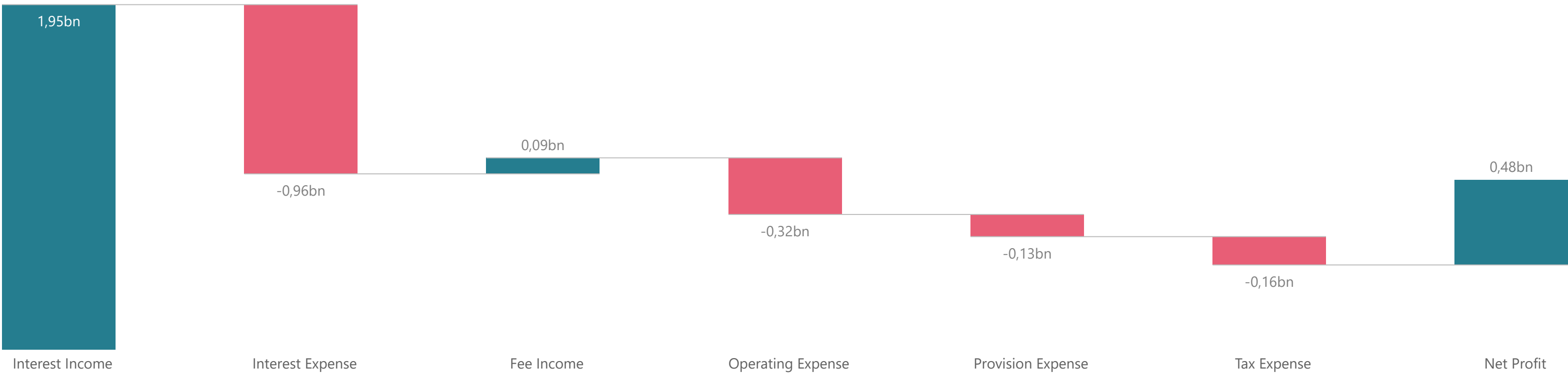
Profitability

Credit Risk & Exposure

Client Matrix

P&L Bridge

Interest Income to Net Profit



Top 5 facilities by Provision

FacilityID	ClientName	Provision	DPD	Risk Grade
MCB0331	Harbor Projects Pvt Ltd	7,48M	35	High
MCB0332	Harbor Projects Pvt Ltd	6,11M	36	High
MCB0112	Cedar Digital Systems Pvt Ltd	5,36M	33	High
MCB0512	Meadow Projects Pvt Ltd	4,80M	38	High
MCB0111	Cedar Digital Systems Pvt Ltd	4,66M	33	High

• Funding cost is the largest drag on profitability, while operating, provision, and tax expenses create additional pressure, resulting in Net Profit of only **0.48bn** from **2.04bn of pre-expense income**.
Action: Prioritize funding-cost optimization while reviewing operating and provision expenses to protect net profit margin.

• **Net Profit is heavily pressured by funding and credit-related costs.** Interest Expense is the largest drag on profitability at **0.96bn**, while Operating Expense, Provision Expense and Tax Expense further reduce earnings, leaving **0.48bn Net Profit** from **1.95bn Interest Income**. The **Top Facilities by Provision** table highlights several high-provision exposures, with the largest facility requiring **7.16M provision and 35 DPD**, indicating areas requiring closer credit-risk monitoring.
Action: Optimize funding costs and prioritize review of high-provision facilities to protect profitability and manage credit risk.

Italy Bank | 2025

Credit Risk & Exposure

Month

All

Quarter

All

Scenario

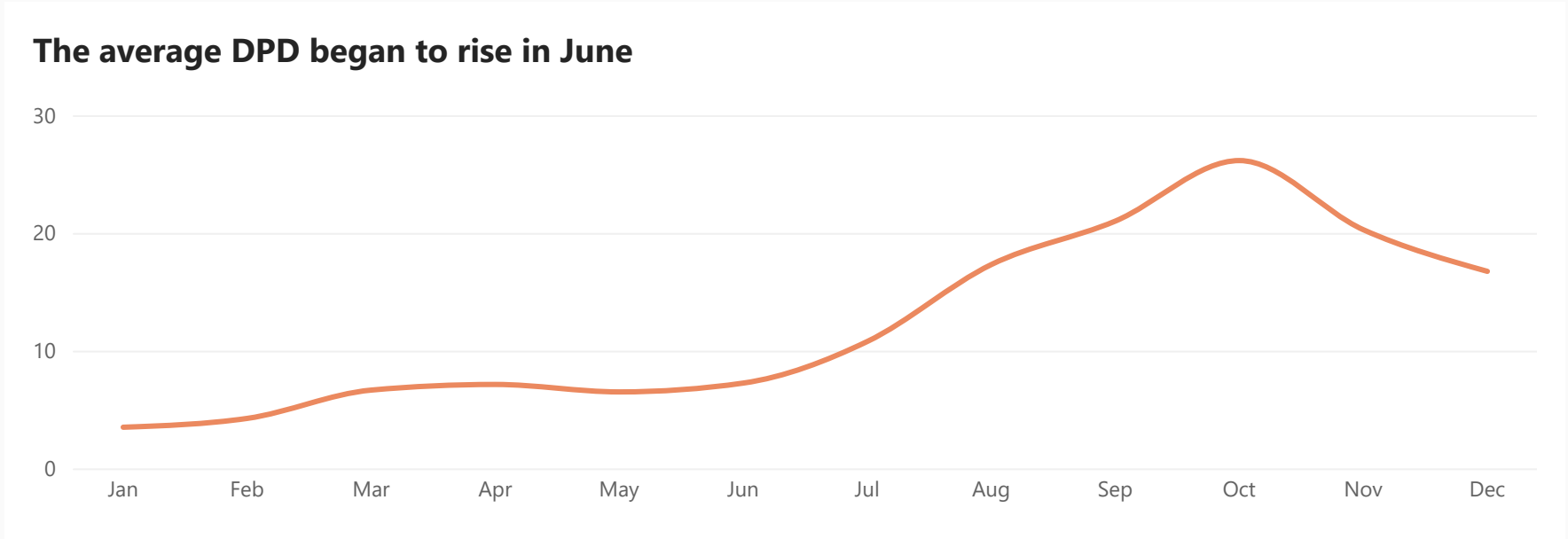
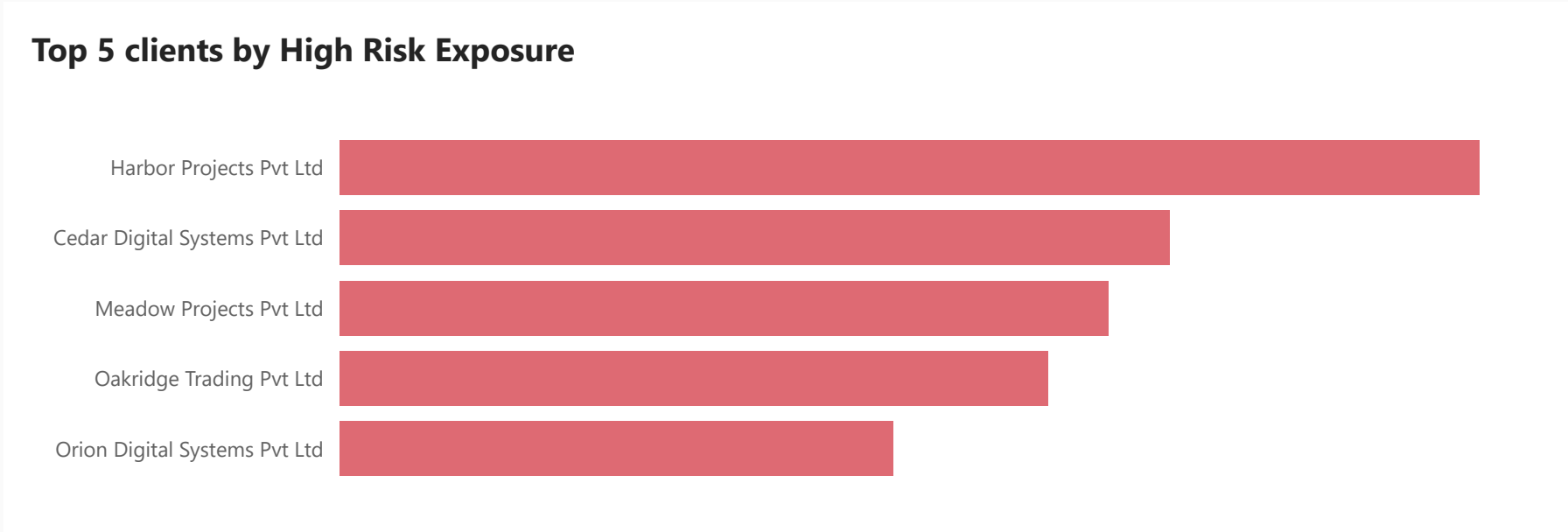
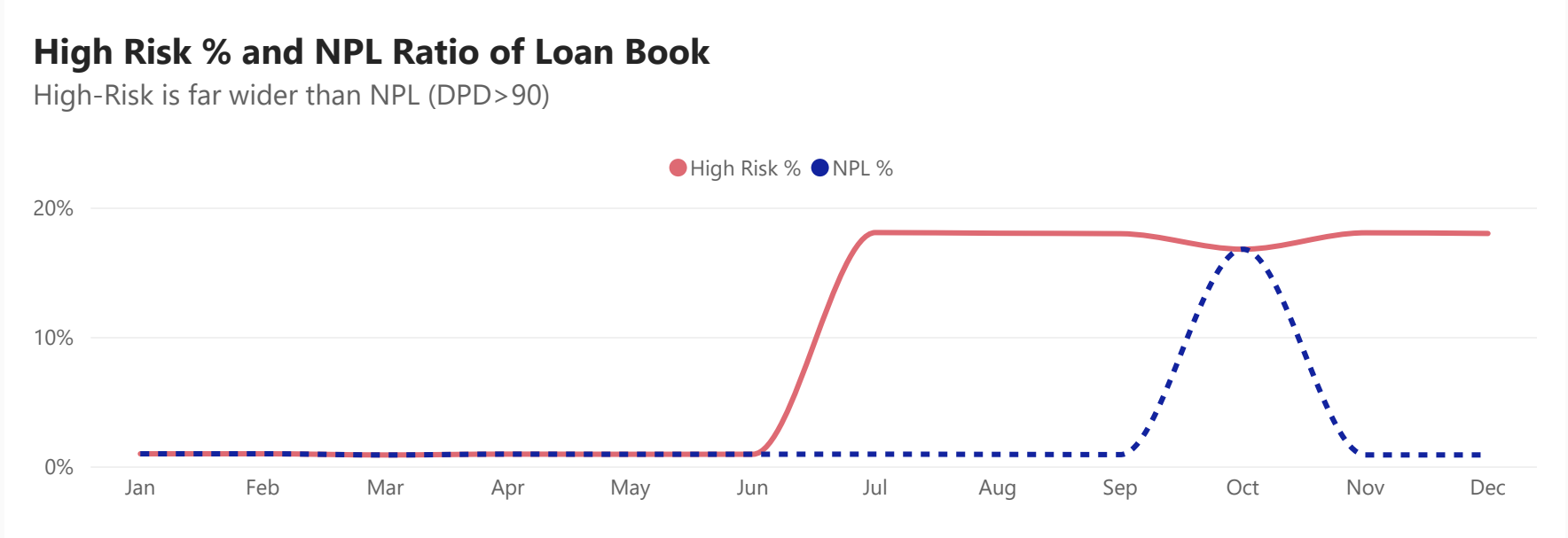
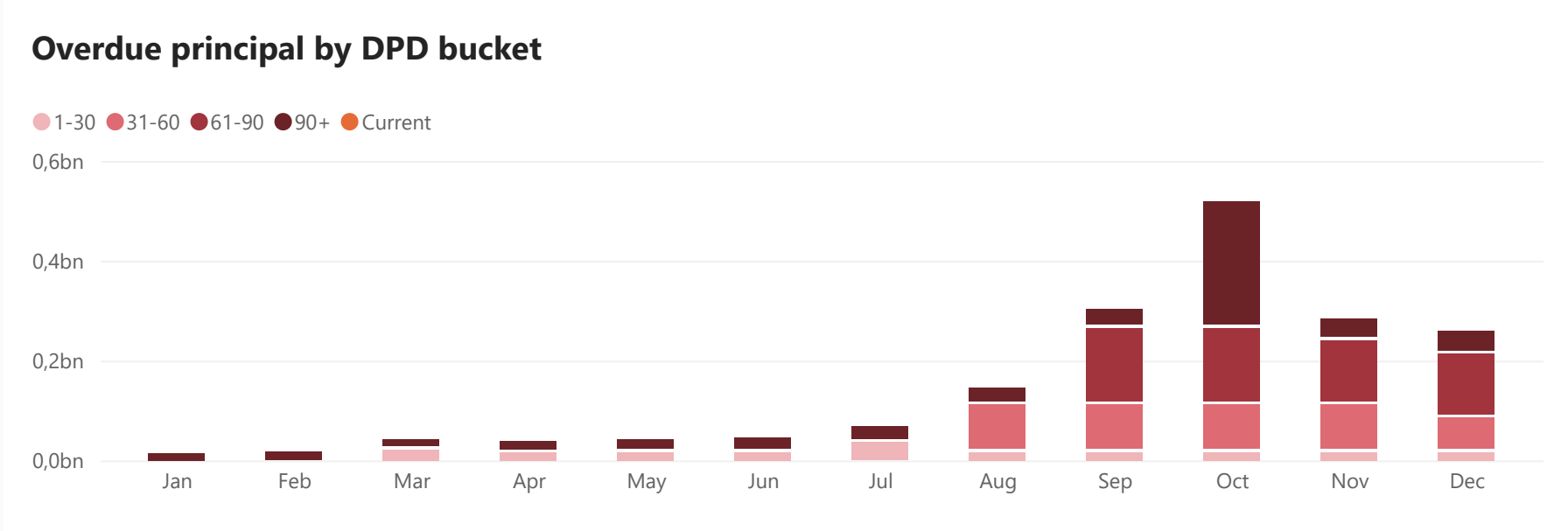
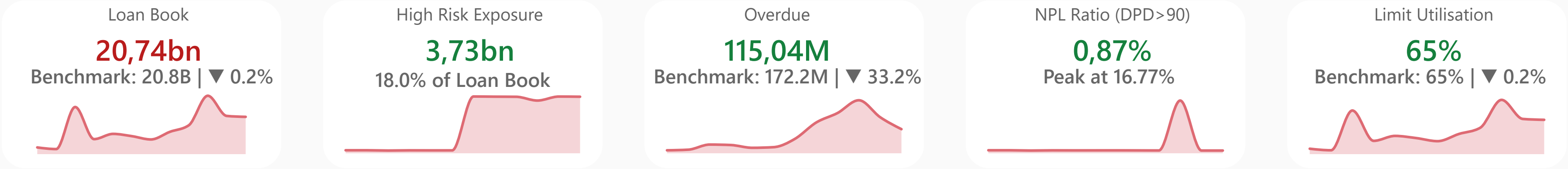
MTD

Normal

QTD

R3M

- Executive Overview
- Margin Pressure
- Profitability
- Credit Risk & Exposure
- Client Matrix



Client Profitability vs Risk

Month

Quarter

Scenario

All

All

MTD

Normal

QTD

R3M

Executive Overview

Margin Pressure

Profitability

Credit Risk & Exposure

Client Matrix

Client profitability vs Risk

GROW (lãi cao, rủi ro thấp)

WATCH (lãi cao, rủi ro cao)

OPTIMISE (lãi thấp, rủi ro thấp)

FIX (lãi thấp, rủi ro cao)

Priority clients (Fix quadrant)

Client	Loan Book	High Risk %	Return
Northstar Digital Systems Pvt Ltd	592,52M	0%	5,8%
Harbor Projects Pvt Ltd	568,00M	100%	2,0%
Aster Freight Pvt Ltd	534,51M	0%	4,3%
Horizon Digital Systems Pvt Ltd	518,02M	0%	6,1%
Riverstone Projects Pvt Ltd	517,92M	0%	5,9%
Maple Digital Systems Pvt Ltd	509,35M	0%	6,3%
Harbor Digital Systems Pvt Ltd	487,85M	0%	5,1%
Crest Digital Systems Pvt Ltd	487,04M	0%	6,0%
Oakridge Projects Pvt Ltd	466,15M	0%	5,8%
Summit Projects Pvt Ltd	459,37M	0%	5,6%
Orion Trading Pvt Ltd	449,33M	0%	5,6%
Cedar Digital Systems Pvt Ltd	413,62M	100%	2,8%
Pioneer Trading Pvt Ltd	410,14M	0%	4,7%
Aster Components Pvt Ltd	401,48M	0%	5,9%
Sterling Health Services Pvt Ltd	394,00M	0%	5,5%
Harbor Components Pvt Ltd	386,52M	0%	5,3%
Meadow Projects Pvt Ltd	383,23M	100%	2,0%
Suncrest Freight Pvt Ltd	380,14M	0%	5,1%
Bluepeak Trading Pvt Ltd	357,84M	0%	6,0%
Suncrest Trading Pvt Ltd	353,16M	0%	5,7%

Italy Bank | 2025

Client Summary

Month

Quarter

Scenario

All

All

MTD

Normal

QTD

R3M

Executive Overview

Margin Pressure

Profitability

Credit Risk & Exposure

Client Matrix

Reset page

Loan Book

20,74bn

Interest Income

1,95bn

High Risk Exposure

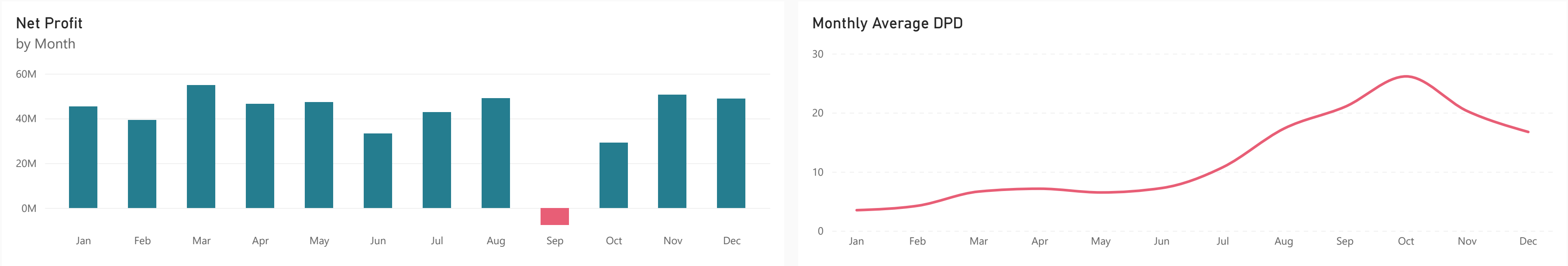
3,73bn

Overdue

115,04M

Risk-adj Return

4,8%



P&L Bridge

Interest Income to Net Profit

Category	Value (bn)
Interest Income	1,95
Interest Expense	-0,96
Fee Income	0,09
Operating Expense	-0,32
Provision Expense	-0,13
Tax Expense	-0,16
Net Profit	0,48

FacilityID	ProductName	Limit	Outstanding	Overdue	Grade
MCB0011	Corporate Term Loan	63%	241,00M	0,00M	Low
MCB0012	Trade Finance Loan	69%	160,48M	0,00M	Low
MCB0021	Equipment Finance Loan	63%	29,46M	0,00M	Low
MCB0022	Trade Finance Loan	67%	29,51M	0,00M	Low
MCB0031	Corporate Term Loan	63%	29,07M	0,00M	Low
MCB0032	Working Capital Revolver	67%	26,86M	0,00M	Low
MCB0041	Equipment Finance Loan	63%	32,13M	0,00M	Medium
MCB0042	Trade Finance Loan	67%	18,79M	0,00M	Medium
MCB0051	Trade Finance Loan	67%	15,29M	0,00M	Low

Select a Client

Metric	Client Value	Portfolio Value
Yield on Advances	9,91%	9,91%
Cost of Funds	5,16%	5,16%
NIM	5,05%	5,05%
Cost-to-Income	29,50%	29,50%
Provision / Op. Income	11,55%	11,55%

Italy Bank | 2025

Facility Detail

Month

Quarter

Scenario

All

All

MTD

Normal

QTD

R3M

Executive Overview

Margin Pressure

Profitability

Credit Risk & Exposure

Client Matrix

Reset page



Facility Limit

31,75bn

Loan Book

20,74bn

Available Limit

11,01bn

Overdue

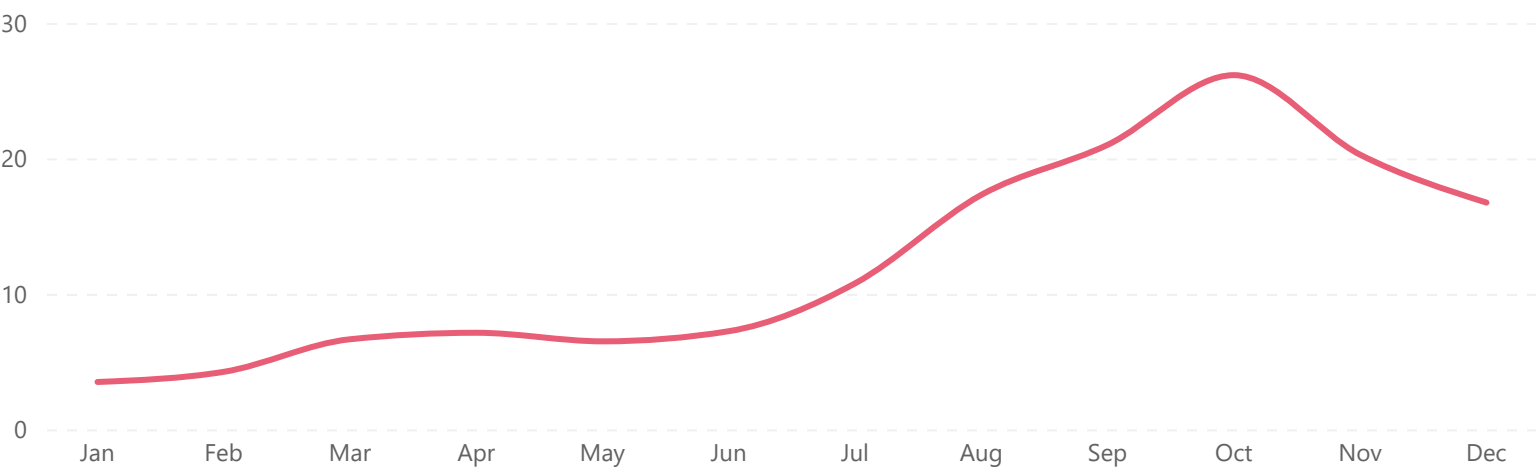
115,04M

Days Past due

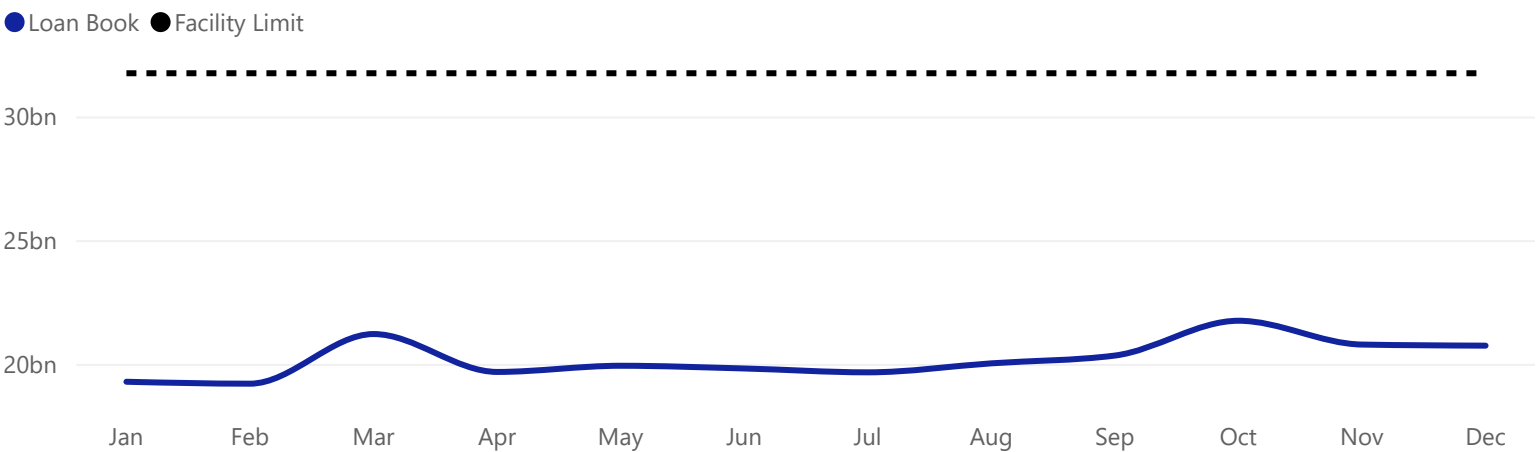
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FacilityID	Client	Product	Limit	Available	Outstanding	Overdue	Grade
MCB0111	Cedar Digital Systems Pvt Ltd	Trade Finance Loan	67%	91,35M	188,52M	3,41M	High
MCB0112	Cedar Digital Systems Pvt Ltd	Working Capital Revolver	68%	105,96M	225,10M	4,07M	High
MCB0171	Orion Digital Systems Pvt Ltd	Corporate Term Loan	62%	75,89M	124,54M	2,46M	High
MCB0172	Orion Digital Systems Pvt Ltd	Trade Finance Loan	67%	73,31M	151,41M	2,99M	High
MCB0221	Maple Health Services Pvt Ltd	Equipment Finance Loan	63%	44,10M	76,32M	1,38M	High
MCB0222	Maple Health Services Pvt Ltd	Corporate Term Loan	64%	57,14M	99,66M	1,97M	High
MCB0331	Harbor Projects Pvt Ltd	Working Capital Revolver	69%	143,99M	318,62M	6,11M	High
MCB0332	Harbor Projects Pvt Ltd	Corporate Term Loan	63%	147,52M	249,37M	4,92M	High
MCB0341	Harbor Health Services Pvt Ltd	Equipment Finance Loan	63%	42,87M	72,20M	1,50M	High
MCB0342	Harbor Health Services Pvt Ltd	Trade Finance Loan	69%	46,62M	102,45M	1,96M	High
MCB0371	Silverline Components Pvt Ltd	Equipment Finance Loan	59%	14,63M	21,06M	5,42M	High
MCB0372	Silverline Components Pvt Ltd	Corporate Term Loan	59%	10,59M	15,21M	3,92M	High
MCB0441	Crest Trading Pvt Ltd	Equipment Finance Loan	62%	8,03M	13,20M	0,25M	High
MCB0442	Crest Trading Pvt Ltd	Trade Finance Loan	67%	11,39M	23,14M	0,46M	High
MCB0511	Meadow Projects Pvt Ltd	Corporate Term Loan	62%	114,92M	187,99M	3,61M	High
MCB0512	Meadow Projects Pvt Ltd	Trade Finance Loan	67%	94,51M	195,24M	4,07M	High
MCB0551	Pioneer Components Pvt Ltd	Equipment Finance Loan	62%	43,60M	70,83M	1,44M	High
MCB0552	Pioneer Components Pvt Ltd	Trade Finance Loan	68%	39,64M	82,54M	1,45M	High
MCB0661	Horizon Freight Pvt Ltd	Equipment Finance Loan	64%	9,40M	16,39M	0,31M	High

Monthly Average DPD



Outstanding vs Limit



ClientName	NII	Provision	DPD
Aster Components Pvt Ltd	22,05M	839.586,49	0
Aster Digital Systems Pvt Ltd	1,76M	72.297,31	0
Aster Freight Pvt Ltd	22,39M	1.135.757,01	0
Aster Health Services Pvt Ltd	2,26M	107.353,90	0
Aster Projects Pvt Ltd	2,49M	117.634,29	0
Aster Trading Pvt Ltd	3,17M	124.220,30	0
Bluepeak Components Pvt Ltd	4,92M	223.418,74	0
Bluepeak Digital Systems Pvt Ltd	10,81M	412.253,83	0